

Three column cash book

This is a cashbook which incorporates both cash and bank and discount allowed in the debit side and cash and bank and discount received in the credit side.

Cash and Trade Discount

Cash discount are given for prompt payment of accounts. Trade discount is allowance of the invoice or catalogue price of an item given by the manufacturer to the customers.

Discount Received

It is where the buyer of goods or services is granted the discount by the seller of goods.

Discount Allowed

It is the reduction in the price or services allowed by the seller to the buyer and its an expense for the seller.

Trade Discount

It is the amount by which a manufacturer reduces the retail price of a product when it's sold to a reseller

The following is a worked example of a three-column cash book plus the ledger accounts for the whole month, showing the ultimate transfer of the totals of the discount columns to the discount accounts.

Write up a three-column cash book from the following details:

1996

January 1 Balance brought forward:

Cash in hand N500

Cash at bank N13,000

Received a cash loan of N500 from Ojo

January 2 Bought goods for cash N460

January 3 Bought motor van paying by cheque N150

January 4 Cash withdrawn from the bank N300

January 5 Paid wages in cash N70

January 7 Cash drawings N100

January 8 Cash sales paid directly into the bank N980

January 12 We paid the following accounts by cheque less 10% discount in each case: Bisi N200; Ayo: N250; Esan N340

January 13 The following paid us their accounts by cheque, in each case deducting 2½ discount: Biodun N200: Theresa N360

- | | |
|------------|--|
| January 15 | Received a further loan of N50 from Ojo by cheque |
| January 16 | We paid Zidane his account of N90 by cheque |
| January 18 | Cash sales N200 |
| January 21 | Paid rent in cash N18 |
| January 23 | Received commission by cheque N120 |
| January 25 | The following persons paid us their accounts by cheque in each case deducting 5% discount: Uson N500; Sofola N120; Jaja N440 |
| January 26 | We paid the following accounts by cheque, in each case deducting 2% discount: Taiwo N600; Tunde N500; Victor N300 |
| January 28 | Paid insurance by cash N60 |
| January 29 | Segun paid us a cheque for N78 having deducted N2 cash discount. |

Cr

Date	Particulars	F	Cash	Bank	Discounts Allowed	Date	Particular	F	Cash	Bank	Discount Received
1/1	Balance	b/f	500	13,000		3/1	Purchases		460		
2/1	Ojo		500			4/1	Motorvan			150	
5/1	Bank	(C)	300			5/1	Cash	(C)		300	
10/1	Sales			980		7/1	Wages	GL	70		
13/1	Biodun	SL		195	5	8/1	Drawings		100		
13/1	Theresa	SL		351	9	12/1	Bisi	PL		180	20
15/1	Ojo			50		12/1	Ayo	PL		225	25
18/1	Sales		200			12/1	Esan	PL		306	34
23/1	Commission		120			16/1	Zidanne			90	
25/1	Uson	SL		475	25	21/1	Rent		18		
25/1	Sofola	SL		114	6	26/1	Taiwo	PL		588	12
25/1	Jaja	SL		418	22	26/1	Tunde	PL		490	10
29/1	Segun	SL		76	2	28/1	Victor	PL		294	6
							Insurance	PL	60		
							Balance c/f		792	13.158	107
			1,500	15,781	69				1,500	15,781	107
	Balance	b/d	792	13,158							